The Markkula Center for Applied Ethics's Ethical Decision-Making Framework is a tool designed to help users identify a broader range of ethical issues and guide them through a decision-making process that includes both pre-decision and post-decision steps. The ultimate goal is to help individuals make more informed, carefully considered decisions that align with their values and that they are less likely to regret later. This framework employs six distinct "lenses" or approaches to ethics to help determine what standards of behaviour and character traits can be considered right and good.

Here's an analysis of the ethical case studies using these lenses:

Ethical Lenses Overview:

- **The Rights Lens:** Focuses on protecting and respecting the moral rights of those affected, treating individuals as ends in themselves rather than means. Rights often imply duties to respect others' rights and dignity.
- **The Justice Lens:** Considers fairness and equal treatment, aiming to give each person their due. This can involve social, distributive, corrective, retributive, or restorative justice.
- **The Utilitarian Lens:** A results-based approach that seeks to produce the greatest balance of good over harm for as many stakeholders as possible. It requires an accurate determination of the likelihood and impact of results.
- **The Common Good Lens:** Emphasizes that life in a community is inherently good and actions should contribute to it. It highlights mutual concern for the shared interests of all community members, especially the vulnerable, and calls attention to common conditions important for general welfare (e.g., clean air, public education).
- **The Virtue Lens:** Focuses on actions consistent with ideal virtues that promote the full development of human character, such as honesty, courage, and compassion. It asks what kind of person one will become by taking a certain action.
- **The Care Ethics Lens:** Rooted in relationships, this approach requires listening and responding to individuals in their specific circumstances. It values interdependence and relies on empathy, kindness, compassion, and generosity to resolve conflicts, considering the relationships, concerns, and feelings of all stakeholders.

Case Study Analysis:

1. May the Truth Be with You (Catherine's Case)

The Dilemma: Catherine, a new hire at an LCD display startup, discovers that two recently installed display units have stopped working and have different serial/revision numbers from the others. Her manager wants to minimize company losses, but Catherine wants to be honest with the customer, who is one of the company's best.

Application of Ethical Lenses:

- **Rights Lens:**
    - The customer has a **right to be told the truth** about the malfunctioning units and any known issues or inconsistencies.
    - The customer also has a right to a product that functions as promised, implying a duty from the company to address product defects transparently and effectively.
    - Catherine, as an individual, has a right to act with **integrity and honesty**.
- **Justice Lens:**
    - Treating the customer fairly would involve **transparency and prompt resolution** of the issue, even if it entails costs for the company.
    - An unjust outcome would be for the company to benefit by minimizing losses while the customer is burdened with defective products or a lack of truthful information.
- **Utilitarian Lens:**
    - The short-term benefit of minimizing company losses by concealing the defect might seem appealing to the manager. However, the long-term **harm** from a loss of trust, damage to the company's reputation, potential legal action, and losing a "best customer" could significantly outweigh any immediate savings.
    - Being honest, addressing the issue, and maintaining the customer relationship would likely produce **the greatest good** in the long run for all stakeholders, including the company, its employees, and its customers.
- **Common Good Lens:**
    - Operating with honesty and integrity contributes to a healthier, more trustworthy business community and marketplace.
    - Deception, even to minimize immediate losses, erodes the common good by fostering an environment of distrust and potentially harming consumer confidence.
- **Virtue Lens:**

    - Catherine's desire to be honest aligns with virtues such as **integrity, honesty, and responsibility**.
    - Choosing to conceal the defect would lead Catherine to act as someone lacking in these virtues, prioritizing self-interest (or company interest) over moral character. The question "What kind of person will I become if I do this?" would guide towards transparency.
- **Care Ethics Lens:**
    - Given that the customer is one of the "best customers," Catherine's relationship with them is paramount.
    - This lens would emphasize listening to the customer's concerns, responding with **empathy and care**, and prioritizing the flourishing of the relationship through transparent communication and genuine efforts to resolve the problem.
    - It would counsel against actions that might damage this established relationship for short-term gains.

Ethical Decision: Based on all lenses, the ethical decision would be for Catherine to **advocate for transparency and honesty with the customer about the malfunctioning units and the differing serial/revision numbers**. This would likely involve taking responsibility for the defect and proactively offering a solution, even if it incurs costs, to preserve the company's reputation and its valuable relationship with the customer. This aligns with respecting rights, promoting fairness, ensuring long-term utility, contributing to the common good, embodying virtues like honesty, and maintaining relationships through care.

2. To Ship or Not to Ship (Rachel's Case)

The Dilemma: Rachel, a Quality Assurance Engineer, is responsible for final testing of servers. Her company has a six-month release cycle, pressuring her to ship products quickly. She must decide whether to ship a product with known defects.

Application of Ethical Lenses:

- **Rights Lens:**
    - Customers have a **right to receive a product free from known defects** that could negatively impact its functionality or their operations.
    - Shipping known defective products could violate the customers' right to a reliable product and truthful representation of its quality.
- **Justice Lens:**

    - It would be unjust to sell customers a product with known defects, as it unfairly shifts potential problems and costs onto them.
    - Fair treatment requires that the product meets reasonable quality expectations or that any defects are fully disclosed and mitigated before sale.

- **Utilitarian Lens:**
    - Shipping the defective product might meet the immediate release deadline and avoid short-term penalties. However, the **potential harm** from widespread product failures, customer complaints, warranty claims, recalls, loss of future sales, and severe reputational damage could be catastrophic and far outweigh any immediate benefits.
    - Conversely, delaying the shipment to fix the defects, while incurring short-term costs, would likely produce the **greatest overall good** by ensuring customer satisfaction, maintaining company reputation, and avoiding larger financial and legal repercussions down the line.
- **Common Good Lens:**
    - The integrity of the market depends on companies providing reliable products. Shipping known defective products harms the common good by eroding consumer trust and potentially causing wider economic and operational disruptions for customers.
    - Prioritizing quality and reliability contributes to a stable and trustworthy industry.
- **Virtue Lens:**
    - Rachel acting with **integrity, responsibility, and conscientiousness** as a Quality Assurance Engineer would mean not shipping a product she knows to be defective.
    - Shipping the product despite known defects would demonstrate a lack of these virtues, indicating a prioritization of short-term business metrics over professional and ethical standards.
- **Care Ethics Lens:**
    - Rachel's role impacts the customers directly. This lens would encourage her to consider the **potential frustrations, financial losses, or operational disruptions** that customers might experience due to defective servers.

    - Prioritizing the relationship with customers and showing **care and compassion** for their operational needs would lead to a decision to address the defects before shipment, maintaining trust and goodwill.

Ethical Decision: The ethical decision for Rachel would be to **refuse to ship the product with known defects until those defects are resolved or adequately disclosed and mitigated**. She should communicate the risks to her management and advocate for prioritizing product quality and customer well-being over meeting an arbitrary release deadline.

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3. Copyright Concerns (Ralph's Case)

The Dilemma: Ralph, a new software engineer at SDX Alliance, re-uses code he wrote during a previous internship for SDX Alliance's new hard disc controller. This code significantly improves product performance. However, during a quality assurance review, it is discovered that his former startup copyrighted the code. The startup is now out of business, making it difficult to contact the copyright owner. If SDX Alliance cannot use this code, the product's release will be delayed by many months.

Application of Ethical Lenses:

- **Rights Lens:**
    - The **previous startup (or its legal successors) holds the intellectual property rights** to the copyrighted code, and these rights deserve protection and respect.
    - SDX Alliance, by potentially using infringing code, would be violating these rights, and would **fail to act with integrity**.
    - Customers have a right to receive products that are legally unencumbered and free from such disputes.
- **Justice Lens:**
    - It would be **unjust to benefit from stolen or improperly used intellectual property**, regardless of the original owner's current operational status. Justice requires giving each person their due.
    - Maintaining a fair market environment depends on respecting intellectual property, ensuring creators and companies are justly rewarded for their innovations.
- **Utilitarian Lens:**

    - **Short-term, immediate benefits** for SDX Alliance might include avoiding months of delay and associated costs, and gaining a performance advantage from the code.
    - However, the **potential long-term harms** are significant: **legal action, severe financial penalties, damage to company reputation, loss of investor and customer trust, and potential public backlash** if the infringement becomes known. These negative consequences would likely far outweigh any short-term gains. The greatest good for the greatest number, in the long run, would likely be achieved by adhering to legal and ethical standards.

- **Common Good Lens:**
    - Respect for **intellectual property rights fosters innovation and trust** within the business community, which contributes to the common good.
    - Ignoring copyright issues erodes this trust and creates an environment where illicit practices can thrive, ultimately harming the broader market and discouraging legitimate development.
- **Virtue Lens:**
    - Ralph's initial oversight may have been due to ignorance, but now that the copyright is known, the company's actions reflect on its **virtue of integrity, honesty, and responsibility**.
    - Choosing to proceed with the infringing code would demonstrate a **lack of integrity** and a willingness to operate unethically for financial gain.
- **Care Ethics Lens:**
    - While there is pressure to avoid internal difficulties (delay, cost), care ethics would prompt consideration of the **company's long-term relationships** with its customers, employees, and the wider business ecosystem.
    - Prioritising a genuine, trustworthy relationship with all stakeholders means taking responsibility for mistakes and upholding ethical standards, even if it means short-term inconvenience.

Ethical Decision: The ethical decision would be for SDX Alliance to **refuse to use the copyrighted code without proper authorisation**. This involves:

1. **Making a diligent effort to contact the copyright owner** or their legal successors to seek a license or permission to use the code.

2. If obtaining proper authorisation is impossible, the company **must rewrite the code entirely**, accepting the inevitable delay and costs. This approach aligns with legal obligations, protects the company's reputation, maintains trust with stakeholders, and upholds ethical principles over short-term financial expediency.

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4. Going Public (Avery's Case)

The Dilemma: Avery, a technical sales engineer, faces immense pressure to meet her sales goals (ten $1M systems per quarter) because her company's IPO (Initial Public Offering) depends on achieving five consecutive profitable quarters. Her manager suggests **falsifying a customer acceptance report**, rationalising it as a common past practice and assuring her he would "look the other way." Failure to meet the goal would postpone the IPO for at least a year, impacting all employees' profits.

Application of Ethical Lenses:

- **Rights Lens:**
    - **Potential investors have a fundamental right to truthful and accurate financial information** to make informed investment decisions. Falsifying reports directly violates this right.
    - Customers have a right to accurate documentation regarding their product acceptance.
    - The **company has a duty to operate within the law** and adhere to regulatory standards.
    - Avery has a **right to not be coerced into illegal or unethical actions** and to act according to her own integrity.
- **Justice Lens:**
    - **Falsifying sales reports is a clear act of injustice** and deception towards investors and the broader financial market. It gives the company an unfair advantage.
    - It would be unfair to other companies attempting to go public who adhere strictly to legal and ethical reporting standards. Justice demands equal treatment based on defensible standards.
- **Utilitarian Lens:**

    - The **short-term benefit** of meeting the sales goal and proceeding with the IPO would bring immediate financial gains to Avery, her colleagues, and shareholders.
    - However, the **long-term harm** if the falsification is discovered would be **catastrophic**: **severe legal penalties (fines, criminal charges for individuals), loss of public trust, ruin of the company, and devastating financial losses for all stakeholders**. The immense potential for harm far outweighs the immediate, uncertain benefits. Acting honestly, even if it delays the IPO, would produce the greatest good by ensuring long-term viability and trust.
- **Common Good Lens:**
    - The **integrity and transparency of financial markets are essential for the common good** of the economy and society.
    - Allowing or participating in fraudulent practices undermines this foundation, potentially leading to widespread economic instability and a loss of public confidence in market systems.
- **Virtue Lens:**
    - Avery's decision directly tests her **courage, honesty, integrity, and professionalism**.
    - Yielding to pressure to falsify reports would mean acting contrary to these virtues, prioritising expediency and personal gain over moral character.
    - The manager's suggestion encourages dishonesty and a lack of accountability, demonstrating poor leadership and a disregard for ethical conduct.
- **Care Ethics Lens:**
    - While there is a perceived duty to care for the financial interests of employees and shareholders, this "care" should not come at the expense of fundamental ethical principles or long-term harm to broader relationships.
    - Genuine care for the company's future and its employees would involve ensuring its success is built on a **foundation of honesty and legality**, preventing the greater suffering that would result from exposure of fraud.

Ethical Decision: The ethical decision for Avery would be to **refuse to falsify the customer acceptance report**. She should not comply with her manager's unethical suggestion. Instead, Avery should seek to report this request through appropriate

internal channels (e.g., human resources, legal department, or a confidential ethics hotline) or, if internal reporting is insufficient or unsafe, consider external regulatory bodies. This decision safeguards her personal integrity and protects the company and its stakeholders from potentially ruinous consequences, upholding principles of legality, transparency, and justice.